

Table 1.10 summarizes the trade-off between spent tuition dollars and additional education, and its consequences. So while you sacrifice time and foregone wages as you study, you ultimately increase the size of your human capital. And, in fact, this increase in the present value of your future earnings may quite easily justify your expenditure on additional years of school. For example, from the analysis in Table 1.11, if you are currently earning \$50,000 and decide to invest in a particular graduate degree that costs \$80,000, your income will only need to increase by \$6,550 or 13.1% to justify this seemingly large expense.

TABLE 1.10 School and Human Capital Analysis

Total Financial Capital = Financial Capital + Human Capital		
No investment in education (<i>status quo</i>)	Earn wages, save time and tuition costs	Salary stays the same and may not grow.
Go back to school	Lost wages, lost time, paid tuition	The present value of human capital is higher than before.

Source: Moshe Milevsky and the IFID Centre, 2008.

Obviously a number of assumptions are built into the numbers displayed in the table, but the general relationship holds true regardless.

TABLE 1.11 By How Much Does Your Salary Have to Increase to Justify Investing in Education?

Salary	Tuition				
	\$20,000	\$40,000	\$60,000	\$80,000	\$100,000
\$25,000	10.2%	13.1%	16.1%	19.0%	21.9%
\$50,000	8.8%	10.2%	11.7%	13.1%	14.6%
\$75,000	8.3%	9.2%	10.2%	11.2%	12.2%
\$100,000	8.0%	8.8%	9.5%	10.2%	10.9%

Assumptions: 2 years education, 3% wage growth, and 20-year career.

Alas, You, Inc. only has a limited amount of human capital. As shown in Figure 1.4, as your life cycle approaches its twilight and enters the retirement phase, the ability to generate new financial capital using human capital decreases dramatically.